

Behind the Demand Curve

▼ What is the Law of Demand?

The law of demand states there is an inverse relationship between the price of a product and the quantity of the products demanded by consumers. Often, when prices of the product rise, consumers buy less of this product and when the price falls, consumers buy more; because of two reasons:

- The substitution effect: When a product becomes more expensive it is no longer the same value for money so consumers may switch to cheaper alternatives and demand will decrease for this expensive product. When price lowers consumers will substitute their previous goods for the new, cheaper good and increase demand.
- The income effect: When prices of a product goes up, buying the product will decrease the consumers' purchasing power or real value of their income. For example, when petrol prices go up, drivers spend more on petrol and have less income left for other products, hence, the price of petrol has reduced their real income.

▼ What is the relationship between individual demand and market demand?

The law of demand works at individual and market levels. Individual demand refers to the quantity of a product purchased by a single consumer at any given price. A consumer will be willing to pay for a product if they think the benefits of the product out way or equal the price they have to pay.

For example, if a Cheery Ripe costs \$2.50 a consumer will buy one if the they think the Cherry Ripe provides them with at least \$2.50 worth of benefit, satisfaction or

utility. If the price rises to \$3, with other things being equal, the consumer must change their spending in a way that increases the level of benefit, satisfaction or utility they get from the Cherry Ripe. The Law of Diminishing Marginal Utility suggests the consumer can raise the benefit, satisfaction or utility gained from the Cherry Ripe by reducing the level of consumption.

The individual consumer is only one of many people participating in the market. Market demand for a Cherry Ripe includes the demand of all of the individuals participating in that market.

The market demand curve is simply the horizontal addition of all the individual demand curves, so the Law of Demand works at both the individual and market levels.

▼ Is the Law and Demand more powerful in some cases than others?

Reactions of quantity demanded in response to a change in price will vary from product to product. Demand is said to be relatively elastic if there is a relatively strong response in quantity demanded to a price change. Demand is said to be relatively inelastic if there is a relatively weak response in quantity demanded to a price change.

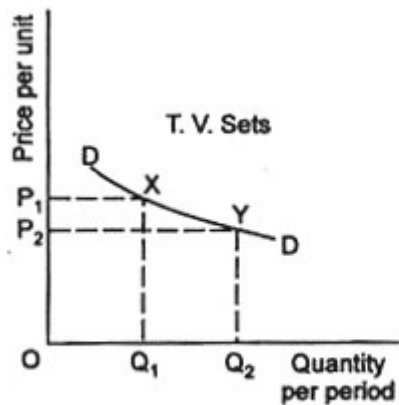


Fig. 5(a) : Elastic Demand

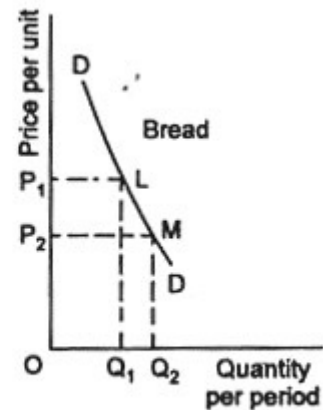


Fig. 5(b) : Inelastic demand

Given the overall price effect is the sum of a substitution and income effects it is reasonable to assume that two important factors that affect the strength of the law of demand (or elasticity) are:

- Availability of substitutes: how essential is it that the consumer buys the product?
- Proportion of income spent on the good: what is the impact on real income when the price changes?

▼ What non-price factors affect market demand?

- Incomes: In most cases when incomes rise, market demand for a product also rises. Products that react this way are described as normal goods. However demand for cheap and low quality goods may reduce as buyers can afford to spend a little more money on a better good. These goods are described as inferior goods.
- Tastes, fashion or preferences: Tastes, fashion or preferences are shaped, amongst other things, by convenience, custom and social attitudes. For example, an increased social emphasis on healthy living will increase demand for goods that make you healthy and reduce demand for unhealthy products.
- Prices of related products: Most markets are interconnected. A disturbance in equilibrium in one

market may upset equilibrium in another. For example, rise in petrol prices may reduce demand for gas guzzling cars, because these are complimentary goods.

- Expectations of future price changes: Buyers may be willing to delay purchases if they expect the price to fall. For example, if a trade agreement between Australia and USA sees trade tariffs fall on imported goods, buyers may be willing to wait until these lower prices are reflected in store.
- Population or demographic changes: Change in size and age distribution of population will affect demand for certain products such as an aging population will demand age and health care services.

▼ Is the effect of a price change and a non-price change shown in the same way?

No. Demand curves show the relationship between the quantity demanded and the price of a good, assuming everything else that affects demand remains the same. If only the price changes and no other factors that affect demand then the outcome is marked on a different spot by a movement along the same demand curve. This is described as a contraction or an expansion in the quantity demanded. If non-price factors affect demand change then the demand curve shifts to a new position and this is called a decrease or an increase in demand.

▼ Are there exceptions to the law of demand?

There are at least four situations where the law of demand doesn't appear to be working. In these circumstances a rise in the price of a good appears to cause an expansion in quantity demanded rather than a contraction.

The assumption that is broken usually is there is a change in price which leads to a change in non-price factors.

- **High status goods, goods of ostentation or "Veblen goods":** The value or benefit of these products comes from their exclusivity. The higher the prices the more exclusive they become and the more people want to be seen with them
- **Giffen good:** These are staple goods that are consumed in greater quantities when their prices rise. Staple goods form a large percentage of the diet in poor countries and therefore have no close substitutes. Every now and then the poor may substitute their diets for small luxuries. So as price rises of the staple good, because there are no substitutes, the demand of the staple good will continue to increase because they need to eat.
- **Experience goods:** Consumers often face an information gap when deciding what product to buy. Experience goods are 'difficult to judge the quality' goods. For example its hard to tell which LED TV is the best so many consumers associate price with quality and choose higher priced TV's as they believe they are the best quality.
- **Bandwagon effects:** A positive price change in a share, for example, may be seen as a positive indicator of further increases to come. A rational consumer might therefore increase demand to capitalise on potential future gains.

Important Terms

- **Normal goods:** Rise in income leads to rise in demand
- **Inferior goods:** Rise in income leads to fall in demand
- **Substitute goods:** Fall in price of one goods leads to fall in demand of another good
- **Complimentary goods:** Fall in price of one good leads to rise in demand of another good

- Independent goods: Change in price of one good has no affect on another good
- Increase price of product - contraction in quantity demanded
- Decrease price of product - expansion in quantity demanded
- Rise in demand due to non-price factors - increase in demand
- Fall in demand due to non-price factor - decrease in demand
- Joint demand: Demand for products when the demand for two or more products is interdependent, usually because they are complimentary, such as printers and ink cartridges
- Derived demand: When the demand for a resource or intermediate good depends on the level of demand for another intermediate or final good such as if people all of a sudden need cars then they need to buy fuel therefore demand for fuel is derived from demand of cars
- Composite demand: Products that have multiple uses such as crude oil.